GOVERNMENT OF INDIA

Ministry of Development of North Eastern Region

Unlocking the Potential of India's Northeast

Confidential and Proprietory

August 2026

SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

SHRI JYOTIRADITYA M. SCINDIA

HONORABLE MINISTER,
MINISTRY OF DEVELOPMENT OF NORTH EASTERN REGION



MESSAGE

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

SHRI MUNINDRA KUMAR

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

The North Eastern Region of India possesses immense strategic, economic, cultural, and environmental significance. Rich in natural resources, biodiversity, tourism potential, entrepreneurial talent, and connectivity opportunities with neighbouring countries, the region holds tremendous promise for accelerating India's inclusive and sustainable development. The Ministry of Development of North Eastern Region plays a pivotal role in unlocking this potential through focused policy interventions, infrastructure development, institutional strengthening, and investment promotion.

The Chamber of Commerce and Industries of India (CCI India) recognizes the transformative opportunities that exist across the North Eastern Region. Through policy advocacy, investment facilitation, industry engagement, startup promotion, skill development, market access initiatives, and cross-border trade partnerships, CCI India seeks to support the Ministry's vision of creating a vibrant and globally connected regional economy.

This Knowledge Paper presents a comprehensive overview of the Ministry's development priorities, flagship programmes, investment landscape, infrastructure initiatives, policy framework, and emerging opportunities across agriculture, tourism, manufacturing, logistics, renewable energy, healthcare, education, digital infrastructure, and entrepreneurship. It also identifies strategic areas where collaborative action can strengthen regional competitiveness and attract sustainable investments.

As India's gateway to Southeast Asia, the North Eastern Region will continue to play an increasingly important role in national growth and international connectivity. CCI India remains committed to partnering with the Ministry of Development of North Eastern Region in advancing inclusive development, regional prosperity, and long-term economic transformation.

Munindra Kumar
Director General
CCI India

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

Preface

The North Eastern Region (NER) of India occupies a position of immense strategic and developmental significance. Comprising eight states Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Tripura, and Sikkimthe region spans 2,62,179 square kilometres, shares international borders with five countries (China, Myanmar, Bangladesh, Bhutan, and Nepal), and is home to over 55 million people representing remarkable ethnic, linguistic, and ecological diversity. Despite these strengths, the region contributes only about 3.01% to India's GDP, reflecting historical underinvestment, infrastructural gaps, and governance challenges.

To address this developmental imbalance, the Ministry of Development of North Eastern Region (MDoNER) was established in September 2001 as the Government of India's nodal ministry for the region's socio-economic development. It coordinates central investments, oversees flagship programmes, and promotes inter-ministerial convergence. Under India's Act East Policy, the North East has emerged as the country's gateway to Southeast Asia, enhancing MDoNER's strategic importance.

India's vision of becoming a *Viksit Bharat* by 2047 has further strengthened the focus on inclusive regional development. With Prime Minister Narendra Modi visiting the region over 60 times and the Government allocating ₹12,882 crore for MDoNER schemes between FY 2022–23 and FY 2025–26, policy momentum has accelerated. The North Eastern states are now among India's fastest-growing economies, with Nagaland (11.80%), Assam (11.58%), and Mizoram (10.34%) recording strong GSDP growth in FY 2023–24.

Against this backdrop, CCI Indiathe Chamber of Commerce and Industry of Indiahas commissioned this Strategic Knowledge Paper to assess MDoNER's institutional landscape, policy priorities, and development gaps; identify strategic collaboration and investment opportunities; and propose an implementation-oriented framework through which CCI India can support the region's transformation.

Prepared for Union Ministers, senior government officials, NITI Aayog, industry leaders, investors, and development institutions, this paper adopts the analytical rigour of leading advisory firms such as Deloitte, PwC, EY, KPMG, and NITI Aayog. CCI India envisions itself as a strategic and accountable partner, bridging government priorities with private sector expertise, investment, innovation, and industry networks to contribute meaningfully to the North East's long-term development.

Chamber of Commerce and Industry (CCI India)

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

TABLE OF CONTENTS

SHRI NARENDRA MODI 2

HONORABLE PRIME MINISTER, INDIA *2*

SHRI JYOTIRADITYA 3

M. SCINDIA 3

HONORABLE MINISTER, ... *3*
MINISTRY OF DEVELOPMENT OF NORTH EASTERN REGION *3*

SHRI MUNINDRA KUMAR 4

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA *4*

PREFACE 5

ABOUT CCI INDIA 9

1: INTRODUCTION TO THE MINISTRY 10

1.1 Ministry Mandate and Constitutional Relevance 10
1.2 Governance Role and Institutional Architecture 10
1.3 National Significance and Act East Policy 11

2: HISTORICAL TIMELINE OF THE MINISTRY 11

2.1 Institutional Evolution 11

3: MINISTRY OVERVIEW & ORGANISATIONAL STRUCTURE 13

3.1 Institutional Framework 13
3.2 Key Schemes and Programmes 14

4: STRATEGIC IMPORTANCE OF THE MINISTRY 14

4.1 Economic Significance 14
4.2 Social and Employment Significance 15
4.3 Geopolitical and Global Significance 15

5: SECTOR LANDSCAPE IN THE NORTH EASTERN REGION 16

5.1 Agriculture and Agro-Processing Sector 16
5.2 Tourism and Hospitality Sector 17
5.3 Information Technology and Digital Economy 17
5.4 Handlooms and Handicrafts Sector 17
5.5 Renewable Energy and Green Economy 18

6: MINISTRY PROGRESS REVIEW (2020–2026) 18

6.1 Budget Evolution and Expenditure Performance 18
6.2 Key Reforms and Process Improvements (2020–2026) 19

7: CURRENT LANDSCAPE ANALYSIS 20

7.1 Major Achievements 20
7.2 Existing Challenges 20
7.3 Benchmarking: India's NE vs. Leading Comparable Economies 21
7.4 National and Global Trends 21

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

8: STRATEGIC NEED FOR CCI INDIA COLLABORATION 22
8.1 Ecosystem Gaps Requiring Industry Partnership 22
8.2 Market Failures and Public-Private Partnership Imperatives 22
8.3 Why a Structured PPP Model is the Optimal Approach 23
9: GAP ANALYSIS FRAMEWORK 23
9.1 Structural Gaps and CCI India Interventions 23
10: OPPORTUNITY ASSESSMENT MATRIX 25
10.1 Strategic Opportunity Landscape 25
11: STARTUP & INNOVATION ECOSYSTEM ANALYSIS 26
11.1 Current State of the NE Startup Ecosystem 26
11.2 Key Sectors for Startup and Innovation Growth 27
11.3 Institutional Architecture for Ecosystem Development 28
12: STRATEGIC ROLE OF CCI INDIA 28
12.1 CCI India as Investment Promotion Partner 28
12.2 CCI India as Industry-Government Bridge 28
12.3 CCI India as Knowledge and Research Partner 29
12.4 CCI India as Ecosystem Builder and Capacity Developer 29
12.5 CCI India's Institutional Strengths Summary 29
13: PROPOSED COLLABORATION FRAMEWORK 30
13.1 Governance Structure 30
13.2 PPP Model Design 30
13.3 Proposed Centres of Excellence 31
14: PROPOSED FLAGSHIP PROGRAMMES FOR CCI INDIA 31
15: INVESTMENT & FUNDING FRAMEWORK 37
15.1 Funding Architecture 37
16: STATE-WISE ENGAGEMENT PRIORITY MATRIX 38
16.1 Differentiated State Engagement Strategy 38
17: EXPECTED IMPACT ASSESSMENT 40
17.1 Economic Impact Projections 40
17.2 Social and Regional Development Impact 40
18: FIVE-YEAR STRATEGIC ROADMAP (2026–2031) 41
18.1 Year-wise Programme Milestones 41
19: WHY CCI INDIA IS THE IDEAL STRATEGIC PARTNER 42
19.1 National Reach with Regional Commitment 42
19.2 Multi-Sector Industry Network 43
19.3 Investment Facilitation Capability 43
19.4 Government Engagement and Policy Credibility 43
19.5 Research, Knowledge, and Publication Capability 43
19.6 International Connections and ASEAN Engagement 44
20: STRATEGIC ACTION AGENDA & POLICY RECOMMENDATIONS 44

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

20.1 IMMEDIATE PRIORITIES (2026–2027) 44
20.2 MEDIUM-TERM PRIORITIES (2027–2029) 45
20.3 LONG-TERM PRIORITIES (2029–2031) 46
CONCLUSION 47

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

1: Introduction to the Ministry

1.1 Ministry Mandate and Constitutional Relevance

The Ministry of Development of North Eastern Region (MDoNER) was formally established on 7 September 2001 a landmark institutional response to the developmental imperatives of India's northeastern frontier. Its constitutional grounding draws from Article 371 of the Indian Constitution, which confers special provisions upon states such as Manipur, Nagaland, Mizoram, and Arunachal Pradesh acknowledging their unique socio-cultural and geopolitical characteristics. Additionally, Sixth Schedule provisions applicable to tribal areas of Assam, Meghalaya, Mizoram, and Tripura vest significant governance authority in Autonomous District Councils, creating a layered institutional architecture that MDoNER must navigate and engage.

At its core, the Ministry's mandate is to serve as the nodal department of the Central Government for all matters relating to the planning, execution, and monitoring of development schemes and projects in the North Eastern Region. Its institutional purpose extends to acting as a facilitator between Central Ministries/Departments and the State Governments of NER, with a view to removing infrastructural bottlenecks, providing basic minimum services, and ensuring that development programmes are designed with region-specific sensitivity.

1.2 Governance Role and Institutional Architecture

MDoNER's governance role is uniquely composite in nature it is simultaneously a policy coordinator, a funding channel, a monitoring authority, and an advocacy institution for the region's interests within the Central Government. Unlike sectoral ministries that execute programmes directly, MDoNER primarily works through a network of implementing agencies, including the North Eastern Council (NEC), the North East Development Finance Corporation (NEDFi), the North East Slow Steamer Services (NEISS), and dedicated state-level institutional bodies.

A critical governance instrument is the 10% Gross Budgetary Support (GBS) Mandate, which requires all non-exempted Central Ministries and Departments (currently 54) to earmark at least 10% of their budgetary allocation for programmes and projects in the North Eastern Region. MDoNER monitors compliance with this mandate through a dedicated MIS portal (nesetu.mdoner.gov.in/gbs) and conducts quarterly review meetings to ensure adherence a function that positions the Ministry as a cross-cutting development coordinator across the entire Central Government apparatus.

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003